

SEVEN-G – Document 9 (Expanded) Phase Gate & Audit Criteria – Detailed Explanation

1. Role of this Document within SEVEN-G

This document operationalizes the Stage-Gate principle of SEVEN-G. It defines when a phase can be considered completed, audited, and authorized to progress. Without this document, SEVEN-G would remain descriptive rather than enforceable. This guide transforms phases into auditable control points.

2. Normative and Binding Nature of Gate Criteria

All criteria defined herein are mandatory. A phase cannot be approved based on intent, effort, or narrative. Approval requires objective evidence. Any missing mandatory criterion results in a non-GO outcome. This ensures reversibility, accountability, and regulatory defensibility.

3. Dual Validation Model

Each phase is validated along two independent axes: (1) achievement of phase objectives and (2) completeness and coherence of mandatory documentation. Both axes must pass. Strong documentation without results, or results without documentation, both constitute a failed Gate.

4. Separation of Duties in Gate Decisions

Gate decisions require the participation of the AI Sponsor, AI Risk Owner, and AI Auditor. Product and Technical roles may present evidence but cannot self-approve. This separation is fundamental to avoid conflicts of interest and systemic risk.

Phase 0 – Context & Constraints Definition

Objective: define the strategic, regulatory, ethical, and organizational boundaries within which the AI initiative may exist. Mandatory documents include the AI Initiative Charter, Context & Constraints Statement, and Role Assignment Record. Audit validation confirms strategic alignment, explicit constraints, and formal accountability. Without this phase, the initiative is considered unauthorized.

Phase 1 – Opportunity Discovery

Objective: identify business-driven opportunities suitable for AI, excluding technically attractive but irrelevant cases. Mandatory artifacts include an Opportunity Backlog and Screening Notes. Auditors verify that opportunities originate from business needs and that exclusions are explicit.

Phase 2 – Value Hypothesis

Objective: formulate falsifiable and measurable value hypotheses. Required documents include the Value Hypothesis Canvas and Baseline Metrics Definition. Audit criteria require measurable KPIs, a documented baseline, and explicit success thresholds. Hypotheses that cannot fail are invalid.

Phase 3 – Feasibility & Risk Gate

Objective: determine whether the initiative should proceed at all. Mandatory documents include Feasibility Assessment, Risk Matrix, Risk Register, and Mitigation & Contingency Plans. Auditors confirm that no critical risks remain unmanaged and that feasibility is independently validated. This is the primary STOP gate.

Phase 4 – Solution Design

Objective: design an auditable, governable, and reversible AI solution. Required artifacts include System Architecture Record, Data & Model Lineage, and Governance Design. Audit criteria ensure observability, control mechanisms, and rollback capability.

Phase 5 – Delivery & Validation

Objective: demonstrate real-world functionality and performance. Mandatory documents include Delivery Report, Validation Results, and an updated Risk Register. Auditors require production or production-equivalent evidence and collected metrics.

Phase 6 – AI Ops & Governance

Objective: ensure stable, controlled, and accountable operation. Required documents include AI Ops Runbook, Monitoring and Alerting Configuration, and Incident Response Plan. Audit validation confirms active controls and assigned operational ownership.

Phase 7 – Feedback, Iteration & Scaling

Objective: decide whether to scale, iterate, or retire the AI system based on evidence. Mandatory artifacts include the Value Realization Tracker and a Scaling or Retirement Decision Record.

Auditors verify that decisions are driven by production metrics and maturity level, not expectations.

Final Enforcement Principle

Any attempt to bypass gate criteria, retroactively complete documentation, or self-approve a phase constitutes a governance violation. Auditors are mandated to issue a FAIL outcome in such cases. This rule ensures that SEVEN-G remains a closed, enforceable, and auditable governance system.